

Are 'Made In India' MOBILE PHONES In The Growth Phase?



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The Indian mobile handset market, including smartphones and feature phones, is booming. According to a Morgan Stanley research report, India will overtake the US next year as the second-largest smartphone market in terms of units sold. It will register nearly five times faster growth than the world's largest smartphone market, China, where growth has decelerated.

The report also indicates that the Indian smartphone market will grow annually at 23 per cent through 2018, accounting for 30 per cent of the global growth during the period. Around 192 million smartphones (11 per cent of global units) will be shipped to India.

The burgeoning mobile handset market in India presents an attractive opportunity to manufacturers. Most of the global corporations are looking at India as a regional hub for manufacturing and sales—to cater not only to the Indian market but to the SAARC, the Middle East and African markets as well. The government of India's recent notification on the Phased Manufacturing Programme (PMP) to promote indigenous manufacture of cellular handsets has provided a fresh impetus to this sector.

This report provides an insight into India's mobile handset manufacturing ecosystem, focusing primarily on opportunities, domestic value addition and policy framework.

"India can potentially be a world leader in the mobile phone manufacturing ecosystem and this has to be done in a phased manner."

—**Aruna Sundararajan**, secretary, Ministry of Electronics & IT (MeitY), Government of India

Methodology

Inputs from six senior industry experts and members across India's mobile manufacturing ecosystem were taken for this report. The ecosystem includes:

1. Mobile brands/original equipment manufacturers
2. Electronic components manufacturers
3. Electronics manufacturing services providers
4. Academia and the industry research fraternity

Market opportunities

India's large domestic market is a big attraction for global manufacturers looking for an alternative market. In China, the widespread design and manufacture of low-end electronics seems to be drawing to a close as engineering and labour costs rise steadily. On the other hand, India has a high availability of skilled manpower at much lower wages.

Mobile manufacturing in India is growing. According to a study conducted by IIM Bangalore (IIM-B) and Counterpoint Research, there was a sharp increase in the total number of mobile manufacturing facilities in the country, to almost 50, with a combined production output of 180 million units in 2016. The market share of locally manufactured mobile phones (versus imported) increased from 14 per cent in 2014 to 67 per cent in 2016. It is further estimated to reach 96 per cent by 2020 (Fig. 1).

The government has introduced various incentives under the PMP to increase domestic value addition (local sourcing, assembly, etc) from 6 per cent to more than 30 per cent over the next few years. The PMP scheme (covered in detail later in the article) aims to promote domestic manufacture of mobile phones by providing tax relief and

Fig. 1: The changing mobile phone buying pattern in India: Locally manufactured vs imports
(Source: IIM-B and Counterpoint Research)

